STRATEGIC BUSINESS MANAGEMENT AND LEADERSHIP

Suggested Answers
November-December 2025

Answer to the Question# 1

a) Strategic Position Analysis

1. PESTEL Analysis

Political

- Government commitment to improving public health and access to medicines supports pharmacy growth.
- Regulation of drug pricing and pharmacy licensing can constrain margins, particularly for low-cost strategies.
- Policies encouraging generic medicines favor Liza Pharma's own-brand and value positioning.

Impact: Generally supportive, but regulatory compliance and price controls require operational efficiency.

Economic

- Rapid urbanization in Sylhet and Chattogram.
- Growing middle class with increased disposable income.
- Inflation and currency fluctuations may raise sourcing and logistics costs.

Impact: Strong demand growth opportunity, but cost pressures reinforce the need for tight cost control.

Social

- Rising health awareness post-COVID.
- Increased acceptance of generic drugs.
- Preference for convenience, trust, and value-for-money among urban consumers.
- Gift-buying culture sustains demand for selected branded items.

Impact: Strong alignment with Liza Pharma's value-driven, trust-based positioning.

Technological

- Advanced logistics and stock management already in use.
- Growing digital engagement through social media and loyalty programs.
- Opportunity for e-pharmacy, app-based loyalty, and data-driven promotions.

Impact: Technology is a competitive enabler; further digital investment can strengthen differentiation.

Environmental

- Increasing pressure for sustainable packaging and waste management.
- Energy efficiency expectations for retail outlets.

Impact: Minor short-term threat but opportunity to build a responsible brand image.

Legal

- Strict pharmaceutical regulations and quality standards.
- Employment laws require compliance as workforce expands.

Impact: High compliance requirements, but Liza Pharma's scale and professionalism reduce relative risk.

---

2. Porter's Five Forces Analysis

1. Threat of New Entrants – Moderate

- Entry barriers are moderate due to licensing and capital requirements.
- However, independent pharmacies and regional chains can still emerge.

Mitigation: Brand recognition, scale, and cost leadership reduce this threat.

---

2. Bargaining Power of Suppliers – Low to Moderate

- Own-brand sourcing from multiple local and international suppliers reduces dependence.
- Suppliers often propose new products, indicating collaborative relationships.

Mitigation: Liza's scale and private-label dominance limit supplier power.

---

3. Bargaining Power of Buyers – High

- Customers are price-sensitive and have many alternatives.
- Switching costs are low.

Mitigation: Loyalty program (Liza Card), competitive pricing, and consistent quality help retain customers.

---

4. Threat of Substitutes – Moderate

- Hospitals, clinics, and online platforms may sell medicines directly.
- Traditional pharmacies remain strong substitutes.

Mitigation: Convenience, wide assortment, and competitive pricing reduce substitution risk.

---

5. Competitive Rivalry – High

- Intense competition from local pharmacies and emerging chains.
- Price-based competition is common.

Mitigation: Liza's low-cost, high-volume model and own-brand focus provide sustainable advantage.

---

b) Key Issues Facing Liza Pharma and Strategic Options

Key Issues

1. **Maintaining Cost Leadership During Rapid Expansion**
   - Risk of operational inefficiencies as new stores scale up.
2. **Strong Competitive Pressure**
   - Aggressive pricing by independent and regional pharmacies.
3. **Brand Consistency Under New Ownership**
   - Change in senior management may disrupt culture and operational discipline.
4. **Human Resource Challenges**
   - Recruiting and retaining trained pharmacists and multi-skilled staff in new regions.
5. **Balancing Value and Premium Positioning**
   - Risk of diluting brand clarity between Everyday and Premium lines.

Strategic Options

Option 1: Aggressive Price-Based Expansion

- Focus on rapid store rollout and undercutting competitors.
- **Pros:** Fast market share growth.
- **Cons:** Margin pressure, operational strain.

Option 2: Differentiated Value Leadership (Hybrid Strategy)

- Maintain low prices while strengthening service, loyalty, and private-label innovation.
- **Pros:** Sustainable advantage, stronger customer retention.
- **Cons:** Requires disciplined execution and investment.

Option 3: Premium-Focused Urban Strategy

- Emphasize Premium line and branded shopping experience.
- **Pros:** Higher margins.
- **Cons:** Risks alienating core value-conscious customers.

---

c) Recommended Strategy and Justification

Recommended Strategy: Differentiated Cost Leadership

Liza Pharma should **continue its low-cost, high-volume strategy**, while **enhancing differentiation through own-brand dominance, operational excellence, and customer loyalty**.

Key Strategic Actions

1. **Strengthen Private-Label Innovation**
   - Expand Everyday and Premium product ranges.
   - Use supplier insights and customer data to guide product development.
2. **Operational Excellence in New Regions**
   - Standardize store formats, logistics, and staff training in Sylhet and Chattogram.
   - Preserve the multi-skilled workforce model to control labor costs.
3. **Leverage Technology and Data**
   - Enhance the Liza Card with personalized offers.
   - Use sales analytics to optimize inventory and pricing.
4. **Invest in People**
   - Maintain above-industry-average wages.

- Develop regional training centers to ensure service consistency.

5. **Localized Marketing with National Brand Consistency**
   - Combine national advertising with region-specific promotions.
   - Reinforce the mission: *value, trust, and accessibility*.

Strategic Justification

- Aligns strongly with **market drivers**: price sensitivity, generic drug growth, and urban expansion.
- Builds on **core competencies**: cost efficiency, private labels, logistics, and staff capability.
- Offers **long-term sustainability** despite high competition.
- Preserves the company's original mission while adapting to new regional realities.

Conclusion

Liza Pharma is well-positioned to succeed in Sylhet and Chattogram if it **protects its cost leadership**, **deepens customer loyalty**, and **executes expansion with discipline**. A **differentiated cost leadership strategy** offers the best balance between growth, profitability, and brand integrity in Bangladesh's evolving pharmacy market.

Answer to the Question# 2

a) Critically assess relevant leadership theories and their application to Mr. Chowdhury's situation

BGM Engineering Ltd operates in a highly dynamic and innovation-driven engineering sector. Mr. Chowdhury has inherited a technically competent but disengaged department shaped by an autocratic leadership legacy. Several leadership theories are relevant to analysing his situation.

Trait Theory

Trait theory argues that effective leaders possess inherent characteristics such as intelligence, confidence, and decisiveness. Mr. Gazi demonstrated strong technical competence and authority, which earned respect. However, his arrogance and lack of trust undermined collaboration and innovation, leading to lost contracts. This highlights a key limitation of trait theory: **technical excellence does not guarantee effective leadership**. For Mr. Chowdhury, relying solely on expertise would be insufficient in addressing cultural and motivational issues.

Behavioural Leadership Theory

Behavioural theories focus on leadership actions rather than traits, particularly the balance between task-oriented and people-oriented behaviours. Mr. Gazi adopted a strongly task-focused style, neglecting interpersonal relationships and employee involvement. This resulted in low morale and poor idea sharing. Research suggests that high performance requires a balance of task and people behaviours. Mr. Chowdhury must therefore shift towards a more people-centred approach while maintaining technical discipline.

Situational Leadership (Hersey and Blanchard)

Situational leadership argues that leaders should adapt their style based on followers' competence and commitment. BGME engineers are highly skilled but lack motivation and confidence to contribute ideas. A directive leadership style, as used previously, is inappropriate in such circumstances. Mr. Chowdhury should adopt a **supportive or coaching style**, encouraging participation and rebuilding confidence.

Transformational Leadership

Transformational leadership focuses on inspiring followers, encouraging innovation, and creating a shared vision. The department's lack of innovation indicates the absence of transformational leadership under Mr. Gazi. Mr. Chowdhury's appointment from a competitor suggests an expectation of change and renewal. Transformational leadership is highly relevant in a dynamic engineering environment, although it requires trust and credibility, which Mr. Chowdhury must actively develop.

Leader–Member Exchange (LMX) Theory

LMX theory emphasizes the quality of relationships between leaders and individual employees. Under the previous leadership, relationships were low-trust and transactional, discouraging discretionary effort and idea sharing. High-quality LMX relationships are associated with higher engagement and innovation. Mr. Chowdhury must therefore invest in building strong, trust-based relationships with team members.

Overall assessment:
The situation requires a shift away from autocratic, trait-based leadership towards a **transformational, supportive, and relationship-based approach** to unlock innovation and engagement.

---

b) Recommendations to improve staff engagement, motivation, and attitudes

To enhance departmental performance, Mr. Chowdhury should address leadership behaviour, motivation, and culture.

Rebuilding Trust and Engagement

Mr. Chowdhury should create psychological safety by encouraging open communication and constructive feedback. Regular team meetings and one-to-one discussions should emphasize listening rather than control. This will help overcome fear created by previous leadership practices.

Increasing Participation and Ownership

Staff should be involved in decision-making, particularly in project design and bid preparation. Cross-functional teams and collaborative problem-solving will increase ownership and commitment, improving innovation outcomes.

Applying Motivation Theory

Using **Herzberg's Two-Factor Theory**, Mr. Chowdhury should ensure hygiene factors such as fair workload and job security are addressed, while enhancing motivators such as recognition, responsibility, and professional development. Publicly recognizing innovative ideas and offering training in emerging engineering technologies will increase intrinsic motivation.

Coaching and Development

Adopting a coaching-oriented leadership style through regular development discussions will build confidence and competence. This is particularly important given Mr. Chowdhury's role in reversing long-standing negative attitudes.

Creating a Clear Vision

Mr. Chowdhury should articulate a clear departmental vision focused on innovation, collaboration, and winning major contracts. Linking individual roles to organisational success will increase motivation and alignment.

Conclusion

Mr. Chowdhury's challenge is primarily **leadership and cultural**, rather than technical. By adopting a **transformational and supportive leadership style**, rebuilding trust, and applying motivational principles, he can re-engage staff, improve innovation, and restore the department's competitive performance.

Answer to the Question# 3

(a) Accounting treatment of CM Projects under IFRS 11 – Joint Arrangements

Identification of the joint arrangement

IFRS 11 defines a **joint arrangement** as an arrangement where two or more parties have **joint control**, which exists when decisions about relevant activities require **unanimous consent**.

In this case:

- RR holds **70%** and RAWP **30%** of CM Projects.
- Each party appoints **three directors**.
- **Unanimous consent is required for all resolutions**.

Therefore, **joint control clearly exists**, and CM Projects fall within the scope of **IFRS 11**.

Classification: Joint Operation or Joint Venture

Under IFRS 11, joint arrangements are classified as either:

- **Joint operations**, or
- **Joint ventures**

This classification depends on the **rights and obligations** of the parties rather than legal ownership percentages.

Key indicators from the scenario:

1. **Rights to output**
    - RR and RAWP are entitled to **all of the output** in a **7:3 ratio**.
    - Output is purchased by the parties rather than sold to third parties.
2. **Restrictions on third-party sales**
    - Sales to third parties are **prohibited** unless approved jointly.
    - Even if allowed, sales are limited to **6%** and are expected to be rare.
3. **Pricing mechanism**
    - Output prices are set to ensure CM Projects operate at **break-even**.
    - CM Projects are not designed to generate profits independently.
4. **Substance of the arrangement**
    - CM Projects exist primarily to supply electricity to RR and RAWP.
    - The parties bear the economic risks and benefits directly.

Conclusion on classification

Based on IFRS 11:

- The parties have **direct rights to assets (output)**.
- The arrangement is dependent on the parties for cash flows.
- CM Projects do **not operate as a separate profit-making vehicle**.

☞ **CM Projects should be classified as a JOINT OPERATION.**

Accounting treatment by RR

As CM Projects are a **joint operation**, RR should:

- **Recognise its share of:**
    - Assets
    - Liabilities
    - Revenues
    - Expenses
- RR should recognise **70%** of the assets, liabilities, income, and expenses of CM Projects in its financial statements.
- No equity accounting is applied.

Summary

CM Projects meet the definition of a **joint operation** under IFRS 11. RR should account for its **70% share** of assets, liabilities, revenues, and expenses on a line-by-line basis in its financial statements.

3(b) IFRS 8 – Identification of Reportable Segments

Step 1: Identify operating segments

BW has **seven operating segments**, which management has confirmed **cannot be aggregated** due to dissimilar economic characteristics.

Therefore, each segment must be tested **individually** against the **IFRS 8 quantitative thresholds**.

Step 2: IFRS 8 Quantitative Thresholds

A segment is reportable if it meets **any ONE** of the following:

(i) Revenue Test

Segment revenue (external + inter-segment) ≥ **10% of total revenue**

Total revenue:

- External: 28,520
- Inter-segment: 12,220
- **Total = 40,740**

10% threshold = **4,074**

(ii) Profit or Loss Test

Absolute segment profit or loss ≥ **10% of the higher of:**

- Total profits of profitable segments
- Total losses of loss-making segments

Profitable segments (absolute profits):

- Metals: 1,560
- Furniture: 250
- Plumbing materials: 310
- Glassware: 1,080
- Other businesses: 940

Total profits = **4,140**

Loss-making segments (absolute losses):

- Farming equipment: 390
- Home appliances: 110
- Sporting goods: 130

Total losses = **630**

Higher amount = **4,140**

10% threshold = **414**

(iii) Asset Test

Segment assets ≥ **10% of total assets**

Total assets = **38,860**

10% threshold = **3,886**

Step 3: Segment-by-Segment Assessment

Segment	**Revenue ≥ 4,074**	**Profit/Loss ≥ 414**	**Assets ≥ 3,886**	**Reportable?**
Metals	☑ (9,700)	☑	☑	**Yes**
Farming equipment	✗	✗	✗	No
Home appliances	✗	✗	✗	No

Segment	Revenue ≥ 4,074	Profit/Loss ≥ 414	Assets ≥ 3,886	Reportable?
Furniture	✗	✗	☑	**Yes**
Plumbing materials	✗	✗	✗	No
Glassware	☑ (8,850)	☑	☑	**Yes**
Sporting goods	✗	✗	☑	**Yes**

(Revenue includes inter-segment sales)

Step 4: 75% External Revenue Test

IFRS 8 requires reportable segments to cover **at least 75% of total external revenue**.

External revenue of reportable segments:

- Metals: 3,500
- Furniture: 3,560
- Glassware: 4,880
- Sporting goods: 3,940

Total = **15,880**

Total external revenue = **28,520**

Coverage = **55.7% → Fails the 75% test**

Step 5: Additional reportable segments required

To meet the 75% test, additional segments must be reported even if they fail quantitative thresholds.

Next largest external revenues:

- Farming equipment: 2,990
- Home appliances: 2,450
- Plumbing materials: 1,600

Including **Farming equipment**:

- New total = 18,870 (66.1%)

Including **Home appliances**:

- New total = 21,320 (74.8%)

Including **Plumbing materials**:

- New total = 22,920 (80.3%) ✅

Final Reportable Segments

Reportable segments for 2024:

1. Metals
2. Furniture
3. Glassware
4. Sporting goods
5. Farming equipment
6. Home appliances
7. Plumbing materials

Conclusion

Based on IFRS 8 quantitative thresholds and the 75% external revenue rule, **all seven operating segments** of Bengal Wares must be disclosed as **reportable segments** in the current period, despite some not meeting the thresholds individually.

Answer to the Question# 4

(a) (i) Most suitable bond for promoting women's empowerment
Orange Bond
The **orange bond** is the most suitable thematic bond for financing and promoting **women's empowerment**, particularly in the case of **EqualFin Bank's financing facility for women-owned SMEs**.
Justification
Orange bonds are designed specifically to:

- Promote **gender equality**
- Increase **women's economic participation**
- Improve access to **finance, employment, education, and entrepreneurship** for women

Key impacts delivered

- Improved access to capital for women-owned SMEs
- Job creation for women and vulnerable groups
- Reduction of gender inequality in financial inclusion
- Empowerment of women as business owners and decision-makers
- Contribution to **UN Sustainable Development Goal (SDG) 5: Gender Equality**

(ii) Key comparison between Orange Bond and Blue Bond

Aspect	Orange Bond	Blue Bond
Primary objective	Women's empowerment and gender equality	Protection and sustainable use of marine and ocean resources
Core focus	Social inclusion	Environmental conservation

Aspect	Orange Bond	Blue Bond
Typical projects	Women-owned SMEs, education, health, leadership programs	Marine biodiversity, coastal resilience, sustainable fisheries
Relevant SDGs	SDG 5 (Gender Equality), SDG 8 (Decent Work)	SDG 14 (Life Below Water), SDG 13 (Climate Action)
Key beneficiaries	Women and girls	Coastal communities, ecosystems, future generations
Issuers	Governments, DFIs, banks	Sovereign states, development banks

Application to the scenario

- **Government of the Islands**: Blue bonds are most appropriate to finance marine biodiversity restoration and coastal resilience.
- **EqualFin Bank**: Orange bonds are ideal to fund women-owned SMEs.

4(b) Memorandum to the Board – Financing Mix Recommendation

To: Board of Directors
From: Chief Financial Officer
Subject: Recommended Financing Mix for BDT 3,500 Million Processing Plant
Date:

Introduction

NovaAgro Foods Ltd. plans to establish a **BDT 3,500 million agro-processing plant** to produce high-value organic food products for domestic and export markets. As a newly formed company with promising products but limited operating history, selecting an appropriate **equity–debt mix** is critical to balance cost, risk, control, and long-term growth.

Key Considerations

1. Business and Cash Flow Risk

- The company is a **start-up**, with no established cash flow.
- Agricultural processing faces **seasonality and price volatility**.
- High leverage at inception would increase financial distress risk.

---

2. Cost of Capital

- **Debt** is cheaper due to tax deductibility of interest.
- **Equity** is more expensive but carries no mandatory repayment.
- Excessive reliance on debt at an early stage would raise the overall risk premium.

---

3. Ownership and Control

- Founders wish to retain strategic control.
- Excessive equity dilution may weaken long-term control and vision.
- Some external equity is beneficial for credibility and governance.

---

4. Strategic Growth and Flexibility

- The company will require **future funding** for expansion and working capital.
- A conservative initial capital structure preserves borrowing capacity.

Recommended Financing Mix

Equity: 60% (BDT 2,100 million)

Sources:

- Founders' capital
- Strategic investors (e.g. agribusiness partners)
- Private equity or venture capital funds

Rationale

- Absorbs start-up and operational risk
- No fixed repayment obligations
- Enhances financial stability and creditworthiness
- Brings expertise and market access

Debt: 40% (BDT 1,400 million)
Sources:
- Long-term bank loans
- Development finance institution (DFI) loans
- Possibly concessional or green/agro-focused financing

Rationale
- Lower cost than equity
- Tax-efficient
- Matches long-term asset life
- Moderate leverage limits financial distress risk

Additional Recommendations
- Use **grace periods** on loan repayments during the start-up phase
- Consider **export credit or sustainability-linked financing**
- Avoid short-term debt for capital expenditure
- Review capital structure after achieving stable cash flows

Conclusion
A **60:40 equity-to-debt mix** is recommended for the project. This structure balances:
- Risk and return
- Cost of capital
- Ownership control
- Long-term growth flexibility

This conservative yet strategic approach will position NovaAgro Foods Ltd. for sustainable growth while maintaining financial resilience.

Answer to the Question# 5

(a) Breakage – IFRS 15 Revenue from Contracts with Customers

Step 1: Identify the contract and performance obligation

- SHB Airlines sold **1,000 flexible, non-refundable tickets** at **BDT 66,000 each**.
- Performance obligation: **providing air transportation** (or making it available).

Total consideration received:

1,000 × 66,000 = **BDT 66,000,000**

Step 2: Estimate expected breakage

From historical data:

- 10% customers do not fly = **100 tickets**
- Of these:
    - 40% rebook = **40 tickets (4%)**
    - 60% never fly = **60 tickets (6%)**

Breakage tickets:

6% × 1,000 = **60 tickets**

Breakage amount:

60 × 66,000 = **BDT 3,960,000**

Step 3: IFRS 15 recognition principles

Under **IFRS 15 (Appendix B – Breakage)**:

- If an entity **expects to be entitled to breakage** and can **reliably estimate** it without significant revenue reversal, then:
    - Breakage revenue is recognised **in proportion to the pattern of rights exercised** by customers.
- If not reliably estimable, revenue is recognised **only when the likelihood of redemption becomes remote**.

SHB Airlines:

- Has **reliable historical data**
- Can estimate breakage **without significant reversal**

Step 4: Revenue recognition timing

Initial recognition (on flight date):

- Revenue recognised for customers who fly.
- A **contract liability** remains for customers who may rebook.

Breakage recognition:

- **BDT 3.96 million** should be recognised as revenue **in proportion to flights taken**, not immediately.
- Remaining breakage (if any) recognised when:
    - The **12-month rebooking period expires**, and
    - Redemption becomes remote.

Conclusion

- Expected breakage = **BDT 3.96 million**
- Recognised as revenue **over time**, consistent with IFRS 15, based on customer usage patterns.

5(b) Major Overhauling and Disposed Parts – IAS 16 PPE

Issue

Whether the **disposed heavy parts** should continue to be recognised and depreciated as PPE.

Relevant IFRS guidance (IAS 16)

- PPE must:
    - Be used in production or supply of goods/services, and
    - Generate future economic benefits.
- When **significant parts are replaced**:
    - The **carrying amount of replaced parts must be derecognised**, regardless of whether separately identified previously.
- Idle assets:
    - **Should not be depreciated** if no longer available for use.

Application to the scenario

Facts:

- Major overhaul performed
- New PPE added: **BDT 100 million** → capitalised
- Old parts:
    - Detached
    - Reusable after maintenance
    - Currently **idle**
- Maintenance contractor cost: **BDT 5 million** → expense (routine maintenance)

Head of Accounts' treatment:

- Not derecognising disposed parts
- Continuing depreciation ✗

Correct accounting treatment

1. Derecognition of replaced parts

- IAS 16 requires **derecognition of replaced components**, even if:
    - Not separately quantified earlier
    - Estimated using reasonable assumptions

☞ **Opinion of Head of Accounts is NOT supported**

---

2. Treatment of idle reusable parts

- Once detached:
    - No longer part of the operating PPE
- Should be:
    - Reclassified as **inventory or spares**, or
    - Capitalised separately at **carrying amount**
- **Depreciation must stop** while idle

---

3. Summary of treatment

- Derecognise old parts
- Capitalise new PPE (BDT 100m)
- Expense maintenance cost (BDT 5m)
- Do **not depreciate idle parts**

Conclusion

The disposed parts **should not remain within PPE nor be depreciated**. IAS 16 requires derecognition and appropriate reclassification.

5(c) Rahman Chemicals Ltd – Provisions, Impairment & Deferred Tax

---

(i) Environmental restoration and dismantling – IAS 37 & IAS 16

Obligation

- No legal obligation
- **Constructive obligation exists** due to:
    - Published environmental policy
    - Past practice

👉 Provision must be recognised.

Measurement (Discounted at 10%)

Environmental restoration:

BDT 10.375m
Assumed at end of useful life (20 years)

PV = 10.375 / $(1.10)^{20}$
PV ≈ **BDT 1.54m**

Dismantling cost:

BDT 31.125m

PV = 31.125 / $(1.10)^{20}$
PV ≈ **BDT 4.62m**

Accounting entries

- Capitalise provision into PPE:

1.54 + 4.62 = **BDT 6.16m**

- Recognise provision (IAS 37)
- Depreciate capitalised amount over asset life
- Unwind discount annually (finance cost)

Deferred tax impact (IAS 12)

- Tax authority allows deduction **only when paid**
- Creates **taxable temporary difference**

Deferred tax liability:

6.16m × 30% = **BDT 1.85m**

(ii) Impairment of Gazipur factory – IAS 36

Recoverable amount

- Value in use = **BDT 34.5m**
- Fair value less costs of disposal = **BDT 32.8m**

Recoverable amount = **higher = BDT 34.5m**

Impairment loss

Carrying amount = **BDT 38.61m**

Impairment:

38.61 − 34.5 = **BDT 4.11m**

Accounting treatment

- Recognise impairment loss in profit or loss
- Reduce carrying amount of factory to **BDT 34.5m**

Deferred tax on impairment

- Impairment not deductible for tax immediately
- Creates **deferred tax asset**

DTA:

4.11m × 30% = **BDT 1.23m**

Overall Conclusion

Rahman Chemicals Ltd should:

- Recognise **discounted provisions** for restoration and dismantling
- Capitalise these costs into PPE
- Recognise **impairment loss** on Gazipur factory
- Recognise:
    - **Deferred tax liability** on provisions
    - **Deferred tax asset** on impairment

These treatments ensure full compliance with **IAS 16, IAS 36, IAS 37 and IAS 12**.

Answer to the Question# 6(a):

Omission of material disclosure and impact on audit report:

Because related-party transactions are material and critical for users' understanding of financial risks and governance, the omission represents a material but not pervasive departure from the disclosure requirements of IFRS. As a result, the auditors might issue a qualified opinion, stating that "except for the effects of the omission of the required related-party disclosures, the financial statements present fairly…".

If management refuses to provide the required related-party disclosures, the auditor must:

1. **Consider the matter a departure from the applicable financial reporting framework**
   Relevant standards (e.g., IAS 24) require disclosure of related-party relationships, terms, and balances. Refusal to disclose constitutes non-compliance with disclosure requirements.
2. **Communicate with Those Charged with Governance (TCWG)**
   Inform TCWG of management's refusal and the implications for the financial statements and auditor's report. Assess whether there is any indication of management bias or potential fraud risk.
3. **Evaluate the impact on financial statements and consider modification of the audit opinion**

Since required disclosures are omitted, this results in material misstatement of the financial statements due to inadequate disclosure. The auditor must request correction; if management still refuses, the auditor must modify the opinion.

4. **Determine the type of modified opinion**
   If the omission is material but not pervasive, issue a qualified opinion ("except for"). If the omission is material and pervasive, need to issue an adverse opinion.
5. **Consider implications for other audit aspects**
   Assess if management's refusal affects the auditor's ability to rely on management representations. Consider whether withdrawal from the engagement is necessary (if permitted), although usually only when refusal signals deeper integrity issues.

Materiality and impact on audit opinion
Yes, it is material. The related-party loan equals 15% of total assets, which is significant, and non-disclosure affects users' understanding of liquidity, financing structure, and related-party influence.

Thus, the auditor must issue a modified opinion - likely a qualified or adverse opinion depending on pervasiveness.

Answer to the Question# 6(b):

Common fraud techniques involving improper revenue recognition:

- Sham sales or recording loans as sales
- Recording transactions even though the sales involved unresolved contingencies
- 'Round-tripping' - i.e. selling an asset to another entity with an agreement to buy it back at the same price
- Improperly recording sales from bill and hold transactions that do not meet criteria for recognition
- Recording revenue before all the terms of the sales are complete or improper sales cut-off
- Improperly accelerating the estimated percentage of completion method for projects in process
- Shipping goods that a customer did not order or shipping defective products and recording revenue at full, rather than discounted, prices
- Recording revenue for consignment shipments, or shipments of goods for customers to consider on a trial basis.

Thinking about these techniques for each of the entity's revenue streams can help us identify opportunities or incentives for management to use them as improper revenue recognition.

Answer to the Question# 6(c):

Factors determining the type of modified audit opinion

The type of modified opinion depends on **materiality and pervasiveness**:

1. Qualified Opinion ("Except For")

A qualified opinion may be issued if the misstatements or scope limitations are material but not pervasive.

- Non-accrual of claims (BDT 3.2 billion) affects liabilities but is not pervasive.
- Certain bank reconciliation issues and delayed statutory payments are material to specific accounts but do not misstate the financial statements as a whole.
- Paper-based fraud affecting some assets but not the entire balance sheet may justify qualification rather than an adverse opinion.

2. Adverse Opinion

An adverse opinion is appropriate if misstatements are material and pervasive, affecting the financial statements as a whole.

- Inflated real estate investment (BDT 100 million, actual market value BDT 10 million), paper-based assets, and fictitious receivables are pervasive, leading to overall overstatement of assets and equity.
- Going concern may be inappropriate due to persistent losses, liquidity issues, and regulatory non-compliance, causing pervasive misstatement of all financial statement elements.
- Extensive fraudulent activity and manipulation of solvency figures further support an adverse opinion.

3. Disclaimer of Opinion

A disclaimer may be issued if the auditor cannot obtain sufficient appropriate evidence and the limitation is pervasive.

- If verification of rights issue, property values, and cash inflows from subsidiaries is not possible due to fraud or lack of supporting documentation, the auditor cannot form an opinion.
- Pervasive unreconciled accounts and unreliable projections may also necessitate a disclaimer under ISA 705.

Answer to the Question# 7(a):

Overdue fees – ethical issues and appropriate accounting

The engagement partner faces pressure:

- The Company is a strategically important client in a competitive sector where auditor wants to grow its presence.
- The CFO privately hints that once the new audit is accepted, overdue fees will be "bundled" into a broader multi-year advisory contract.
- Internal finance teams of the Firm warn that writing off the overdue fees will materially impact their regional office's profitability.

The overdue fees create a self-interest threat, as users of the financial statements could perceive that the auditor's desire for fee recovery might impair objectivity when evaluating high-judgment areas. Overdue fees might be assumed as loan to the client, violating ethical standards.

Here are key steps to be taken:

- Assess independence threats created by 12-month overdue fees (self-interest threat)
- Do not accept or start the new audit until outstanding fees are settled or a satisfactory payment arrangement is agreed.
- Communicate with Those Charged with Governance (TCWG) about overdue fees, independence concerns, and the risks identified.
- Apply or consider safeguards (e.g., involving an independent partner review) if continuation is still being evaluated.
- Decline or withdraw from the engagement if independence cannot be maintained or fees remain unpaid.

Answer to the Question# 7(b)(i):

Online trainings misconduct – ethical issues and recommendations

FRC concludes that the firm failed to ensure the integrity of its training program, thereby compromising competency expectations and regulatory trust. As a result, the firm is penalized with:

- a multi-million-dollar fine and a two-year monitoring order,
- requirements to redesign its quality-management system, and
- a public reprimand naming senior partners responsible for oversight failures.

The misconduct attracts media attention, causing clients to question whether audit teams adequately understand independence rules - especially those involving high-risk industries like banking and insurance.

Answer to the Question# 7(b)(ii):

Recommendations for practical measures the Firm should implement to prevent recurrence of the practice:

1. Regulatory and legal implications

- Enhanced inspections, special compliance reviews, and mandated reporting to international regulators.

- Potential investigations into whether improper training impacted actual audits and risk of lawsuits if audit failures are linked to training inadequacies.

2. Independence and ethical concerns

- Public perception that auditors lack ethical discipline, damaging trust in the firm's objectivity.
- Increased scrutiny over independence declarations and conflict-of-interest assessments.

3. **Quality-control system failures**

- Significant remediation obligations under ISQM 1 and ISQC 1 requirements.
- Mandatory retraining, competency reassessment, and revision of policies governing e-learning.
- Possible suspension of signing rights for partners involved.

4. Reputational and commercial impact

- Loss of major clients who demand higher standards of discipline and compliance.
- Threats to new client bids where regulator reputation is critical and negative media coverage affecting global brand credibility.

---The End---